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# Nebius Group NV (NBIS.O)

## Day 2 – NBIS – Citi Global TMT Conference Takeaways

### CITI'S TAKE

We hosted Arkady Volozh, Founder & CEO of Nebius, at Citi's Global TMT Conference for a discussion focused on AI infrastructure demand, pricing dynamics, hyperscaler ambitions, and the company's path toward building a differentiated AI cloud platform. The discussion reinforced our constructive view that Nebius is evolving beyond a traditional neocloud provider toward a full-stack AI provider, with management highlighting unprecedented demand conditions, improving monetization opportunities through software and inference layers, and a growing ecosystem of strategic partnerships.

**Full-Stack Strategy Driving Differentiation** - Management emphasized that Nebius is not simply a GPU infrastructure reseller, but rather is building a fully integrated AI stack spanning land acquisition, data center construction, power procurement, hardware deployment, cloud software, inference services, and application-layer functionality. CEO Arkady Volozh stated that few companies possess the experience necessary to build across the entire value chain, positioning Nebius more alongside hyperscalers such as AWS, Azure, and GCP rather than traditional bare-metal GPU providers. Management believes controlling the entire stack enables superior economics, better product differentiation, and higher-margin monetization opportunities versus infrastructure-only peers.

**Demand Remains Well Ahead of Supply** - Nebius noted demand conditions have strengthened throughout 2026 as AI adoption increasingly expands into coding, security, life sciences, retail, and enterprise applications. While software demand can grow exponentially, physical infrastructure deployment remains constrained by power, real estate, equipment availability, and construction timelines. Management highlighted a significant increase in pricing versus historical levels, noting that industry pricing has moved from roughly \$10-15M per megawatt toward \$20-25M per megawatt for longer-duration contracts, while customers requiring immediate capacity are willing to pay \$40-50M per megawatt for shorter-term deployments. Nebius views these pricing trends as evidence that the supply-demand imbalance remains severe and potentially widening.

**Auction-Based Capacity Monetization Could Unlock Additional Value** - One of the more notable topics was Nebius' developing auction-based capacity allocation framework. Management believes AI infrastructure pricing will increasingly require more dynamic price-discovery mechanisms to efficiently allocate scarce resources. The company has already begun experimenting with auction-oriented approaches and sees pricing optimization becoming a core competency as the industry scales.

### Buy / High Risk

|                             |             |
|-----------------------------|-------------|
| Price (08 Sep 26 16:00)     | US\$243.88  |
| Target price                | US\$324.00  |
| Expected share price return | 32.9%       |
| Expected dividend yield     | 0.0%        |
| Expected total return       | 32.9%       |
| Market Cap                  | US\$66,300M |

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

We view this initiative as potentially differentiating, particularly if capacity remains constrained over the next several years.

**Building Toward a Multi-Gigawatt Platform** – Management indicated the company expects to approach roughly 1GW of capacity this year and ultimately target annual deployment rates of 1-2GW over time. While there is execution risk, management believes Nebius can ultimately command a meaningful share of a rapidly expanding AI infrastructure market. Management acknowledged that financing remains one of the primary challenges ahead, noting that fully deploying contracted capacity will require significant capital formation over the coming years.

**Palantir Partnership Expands Enterprise Opportunity** – Management also discussed the recently announced partnership with Palantir, framing the relationship as an important enterprise distribution channel. Nebius will provide the full-stack infrastructure foundation while Palantir delivers enterprise software and orchestration capabilities. The partnership is aligned around a growing belief that enterprises increasingly prefer sovereign AI environments built on open models rather than relying exclusively on proprietary foundation models. Nebius believes its infrastructure stack, combined with open-source model support through Token Factory, positions the company well to participate in this trend.

# Nebius Group NV

## Valuation

We derive our one-year NBIS target price of \$324 by projecting revenue growth and profitability through FY29. The framework that informs our valuation is based on a regression analysis of trading multiples and growth + profitability of companies across the software universe. We adjust, when necessary, to account for qualitative factors such as competitive positioning and sustainability of growth. We apply a 66% discount on NBIS's regression-implied valuation multiple on financial leverage for buildouts in future periods. Our target price of \$324 implies ~8x FY27E EV/Revenue.

## Risks

We rate the company as High Risk given Nebius's limited trading history, the capital-intensive nature of multi-GW AI datacenter expansion, AI headline volatility and meaningful exposure to a small number of large hyperscaler customers. Shares may therefore be more volatile than established cloud or software names, and results may be sensitive to GPU supply cycles, contract timing, and financing conditions.

We see the following positive and negative factors impacting NBIS shares:

Upside risks to our price target include:

- Sustained AI compute demand and faster-than-expected GPU deployment, leading to higher ARR/MW conversion as NBIS ramps toward its ~5GW 2030 active power target.
- Stronger adoption of NBIS's higher-margin services, including Token Factory (inference), orchestration (SLURM/Kubernetes), agentic workflows/search, and human-in-the-loop Tendem integration, which could accelerate the mix shift beyond raw compute.
- Better-than-expected capital efficiency, driven by larger hyperscaler upfront payments, advantageous ABS/converts financing, or monetization of the company's ~\$3.75B ClickHouse stake.
- GPU pricing increases with a longer continuation of demand outstripping supply.
- Longer useful life of GPU and datacenter assets, aided by NBIS's custom rack/cooling designs and a shift from 5-year to 6-year depreciation, leading to higher reported margins and stronger FCF.
- Greater GPU supply from NVIDIA, which could improve NBIS's Blackwell/Rubin allocation and fill capacity faster.
- Lower than expected financing needs driven by greater prepayments.

Downside risks to our price target include:

- Contract concentration risk, with MSFT and META representing ~40% of FY26 ARR guidance; changes in strategy, slower ramp of enterprise workloads, or future insourcing of training/inference could impact growth visibility.
- GPU supply chain constraints, including delays in next-gen architectures (Blackwell, Rubin, Vera) or construction-related delays for powershell which could limit revenue conversion of connected power.
- Execution risk on multi-GW datacenter build-out, including delays in land/power procurement, permitting, or construction that could reduce connected-to-active conversion (typically 4–8 weeks) or push revenue recognition.
- GPU pricing declines faster than expected across hardware cycles.
- Regulatory and geopolitical risks, including heightened EU data-sovereignty, AI governance, or energy-usage requirements
- Residual investor concerns regarding NBIS's historical Yandex ties, despite complete divestiture and NVIDIA due diligence.
- Financing risks, with the possibility for greater costs for debt or the need for substantial equity dilution if hyperscaler prepayments decline or macro credit conditions tighten.

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# Appendix A-1

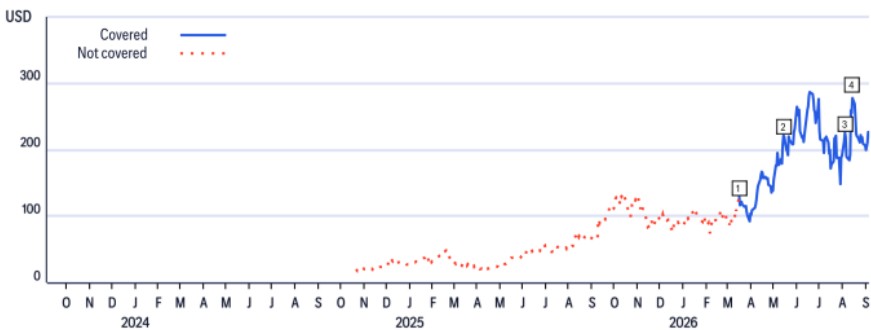
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Nebius Group NV (NBIS)  
Ratings and Target Price History  
Fundamental Research

Analyst: Tyler Radke



| Date               | Rating | Target Price | Closing Price |
|--------------------|--------|--------------|---------------|
| 16-Mar-26 08:04:40 | *1H    | *169.00      | 129.85        |
| 14-May-26 18:15:03 | 1H     | *287.00      | 221.15        |

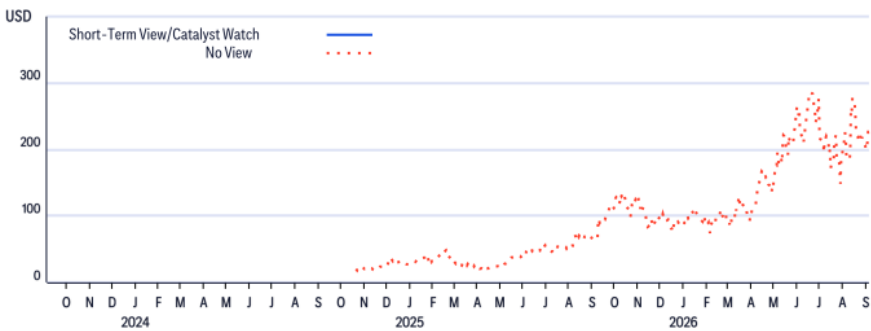
| Date               | Rating | Target Price | Closing Price |
|--------------------|--------|--------------|---------------|
| 04-Aug-26 10:18:02 | 1H     | *278.00      | 225.74        |
| 13-Aug-26 07:07:20 | 1H     | *324.00      | 255.04        |

\*Indicates Change

Rating/target price changes above reflect Eastern Time

Nebius Group NV (NBIS)  
Short-Term View/Catalyst Watch Research

Analyst: Tyler Radke



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|----------------------------------------------------------------------------|-----------------|------|------|----------------|------|------|
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